THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM ONE ANNUAL EXAMINATION
062 BOOK KEEPING
MARKING SCHEME NOVEMBER 2025

SECTION A (15 MARKS)

QUESTION 1

(10tick@1mark=10marks)

i.	ii.	iii.	iv.	v.	vi.	vii.	viii.	ix.	x.
E	B	E	D	C	A	C	C	B	D

QUESTION 2

(5 marks, 1 @)

LIST A	i.	ii.	iii.	iv.	v.
LIST B	E	C	A	B	D

SECTION B (40 MARKS)

QUESTION 3

Accounting guideline or assumptions.

i. **MONETARY UNIT CONCEPT/ MONEY MEASUEREMNT CONCEPT:**
According to this concept, a business transaction will always be recorded and can be expressed in terms of money. most countries would require that financial statements are presented in their local currency, example Tanzanian Shillings (TZS).

ii. **BUSINESS ENTITY CONCEPT:**
According to this concept, the owner or proprietor of a business is always separated and distinct from the business or enterprise.

iii. **MATCHING CONCEPT**:
This concept implies that revenues should be matched against expenses/costs in order to determine the profit or loss for the particular accounting period.

iv. **REALIZATION CONCEPT/REVENUE RECOGNITION CONCEPT:**
According to this concept revenue is recognized when a sale is made or an accountant only recognizes a profit when the goods are sold or services are rendered

v. **PERIODICITY CONCEPT/ TIME PERIOD CONCEPT:**
This concept state that the financial activities of a business should be divided into specific and meaningful time periods for reporting purposes.

vi. **DUAL ASPECT CONCEPT/DUALITY CONCEPT:**
This basic concept in accounts which states that every transaction must be recorded twice

vii. **GOING CONCERN CONCEPT/CONTINUITY ASUMPTION:**
According to this concept, it is assumed that the business will continue to operate for the foreseeable future.

viii. **HISTORICAL COST CONCEPT/COST CONCEPT:**
This concepts state that, assets should be recorded and reported at their original cost when acquired by an enterprise.

ix. **CONSISTENCY PRINCIPLE:**
It states that an entity should not change its accounting methods frequent from one period to another.

x. **FULL DISCLOSURE PRINCIPLE**:
Suggests that, every financial statement should fully disclose all relevant information for all interested parties like investors, lenders, creditors and shareholders to see.

xi. **ACCRUAL CONCEPT:**
This concept state that revenue is recognized when they are earned, and expenses are recognized when they are incurred. Regardless of when cash is received or paid.

xii. **PRUDENCE CONCEPT/CONSERVATISM PRINCIPLE**
This concept states that an entity must not overestimate its revenues, assets and profits besides this it must not underestimate its liabilities, losses and expenses.

(5points@2marks=10marks)

QUESTION 4

S/N	SOURCE DOCUMENT	USES
i.	Receipts/cheque	Record cash transactions
ii.	Invoice	To record goods sold on credit/ credit sales
iii.	Debit note	To record goods returned back to supplier
iv.	Credit note	To record goods returned in business by customers
v.	Invoice	To record goods bought on credit

(10tick@1mark=10marks)

QUESTION 5

CHIMWAGA'S JOURNAL PROPER FOR JULY 2021

Name of account	DEBIT	CREDIT
Business buildings	350,000	
Furniture	100,000	
Motorcycle	150,000	
Computer	180,000	
Van	400,000	
Debtors	30,000	
Bank balance	90,000	
Cash balance	20,000	
Loan from finca		220,000
Account payable		84,000
Capital		**1,016,000**
	1,320,000	**1,320,000**

(13tick@0.76mark=10marks)

QUESTION 6

SIMON AND SONS LTD.			
TRIAL BALANCE AS AT 31 DEC 1988			
S/N	**PARTICULARS**	**DEBIT**	**CREDIT**
1	Purchases	15,740	
2	Stock	3,790	
3	Return in wards	120	
4	Carriage in wards	50	
5	carriage in wards	140	
6	Drawings	7,360	
7	Premises	38,000	
8	Fixture and fittings	10,500	
9	Wages and salaries	9,310	
10	Advertising	1,180	
11	Cash at bank	2,010	
12	Cash in hand	60	
13	Debtors	2,240	
14	Machinery	7,170	
15	Sales		32,830
16	Returns outwards		310
17	Rent received		540
18	Creditors		1,870
19	Capital		54,950
20	Commision received		7,170
		97,670	97,670

(20tick@0.5mark=10marks)

SECTION C (45 MARKS)

QUESTION 7

PRINCE'S SALES DAY BOOK

DATE	**PARTICULARS**	**INVOICE NUMBER**	**INVOICE DETAILS**	**INVOICE TOTALS**
2021				
APRIL 1ST	**JUNIOR**			
	10 dozen of Vitenge at 8,000 @	SL1	80,000	
	25 dozen of khanga at 10,000@		250,000	330,000
APRIL 5TH	**MERCY**			
	100 pairs of shoes at 2,000 @		200,000	
	200 pairs of boots at 3,000 @	SL2	600,000	800,000
APRIL 12TH	**BARAKA**			
	100 dozens of exercise at 3000 @		300,000	
	200 reams of papers 1500 @	SL3	300,000	600,000
APRIL 15TH	**NEEMA**			
	Credit sales at 5,000	SL4	5,000	5,000

APRIL 22ND	**STAR BOOK STORE**			
	200 dictionaries at 2,500 @	SL5	500,000	
	800 fiction book at 500 @		400,000	900,000
APRIL 30TH	Transfer to the credit side of sales account	GL		2,635,000

GENERAL LEDGER

DR. SALES ACCOUNT CR

	PARTICULARS	F	AMOUNT	DATE	PARTICULARS	F	AMOUNT
				2021 30TH APRIL	SUNDRY DEBTORS		2,635,000

QUESTION 8

INCOME STATEMENT AS AT 31ST DECEMBER 2012

DETAILS	TSHS	TSHS	TSHS
Sales		328,300	
Less sales return		(1200)	
Net sales			327,100
Less: cost of goods sold			
Opening stock		37,900	
Add: purchases	157,000		
Add: carriage inwards	5000		
	157,900		
Less: return outward	(3100)		
Net purchases		154,800	
Cost of goods available of sale		192,700	
Less: closing stock		(30,300)	
Less: goods sold			(162,400)
Gross profit			164,700
Add: income: Rent received			54,00
			170,100
Less: Expenses			
Carriage outwards		1400	
Wages and salaries		93,100	
Advertising		11800	
Total expenses			(106,300)
Net profit			**63,800**

STATEMENT OF FINANCIAL POSITION

DETAILS	TSHS	TSHS	TSHS
FIXED ASSET			
Premises	380,000		
Fixture and fitting	105,000		

Total fixed asset			485,000
CURRENT ASSETS			
Stock		22,400	
Debtor		30,300	
Cash at bank		20,100	
Cash at hand		600	
Total current asset		73,400	
Less: CURRENT LIABILITIES			
Creditors		(18,700)	
Working capital			54,700
Capital employed			539,700
FINANCED BY			
Capital	549,500		
Add: net profit	63,800		
	613,300		
Less: drawings	(73,600)		
Capital employed			539,700

QUESTION 9

Dr **Cash Account (1)** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
1/4/2021	Capital	2	200000	3/4/2021	Rent	7	6000
18/4/2021	Sales	5	6000	**4/4/2021**	Purchases	3	8000
				6/4/2021	Postage	8	1000
				8/4/2021	Drawings	9	5000
				17/4/2021	Salaries	12	9600
				19/4/2021	Advertising	13	7000
				22/4/2021	Purchases	3	18000
				24/4/2021	Furniture	14	10000
				27/4/2021	Machinery	15	60000
				28/4/2021	Wages	16	16000
				30/4/2021	Balance	c/d	57400
			206000				**206000**
1/5/2021	**Balance**	b/d	57400				

LEGDERS:

Dr **Capital Account** **Cr**

Date	**Details**	**Folio**	**Amount**	**Date**	**Details**	**Folio**	**Amount**
				1-4-2021	Cash acc		200,000

Dr **Sales Account** **Cr**

Date	**Details**	**Folio**	**Amount**	**Date**	**Details**	**Folio**	**Amount**
				18-4-2021	Cash acc		6000

Dr **Rent Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
3/4/2021	Cash acc		6,000				

Dr **Purchases Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
4/4/2021	Cash acc		8,000				
22/4/2021	Cash acc		18,000				

Dr **Postage Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
6/4/2021	Cash acc		1,000				

Dr **Drawing Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
8/4/2021	Cash acc		5,000				

Dr **Salaries Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
17/4/2021	Cash acc		9,600				

Dr **Advertising Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
19/4/2021	Cash aa		7,000				

Dr **Furniture Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
24/4/2021	Cash aa		10,000				

Dr **Machinery Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
27/4/2021	Cash acc		60,000				

Dr **Wages Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
28/4/2021	Cash acc		16,000				